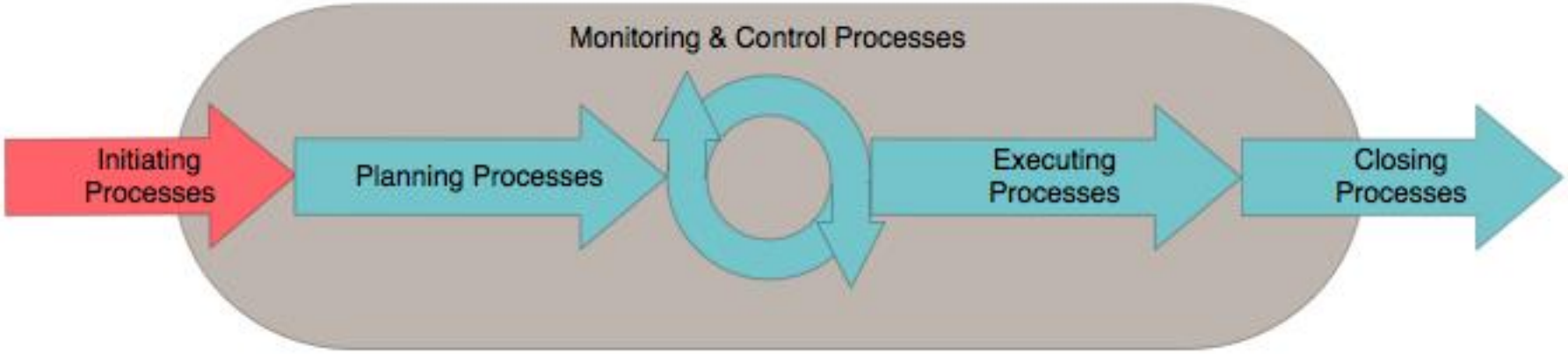
Initiating the Project

Initiating processes overview

- ***Initiating processes*** define a new project or new phase of an existing project
- Initial project scope, project stakeholders, and project manager are identified
- Key purposes are to:
  - *Align the stakeholders' expectations* with project purpose
  - *Give stakeholders visibility* into project scope and objectives
  - *Demonstrate that stakeholder participation helps* ensure project success
- All of these set the *vision* of the project: what needs to be accomplished



Adapted from Figure 2-10 *PMBOK Guide, 5th Edition*

Initiating Processes

- **Develop Project Charter**
  - This process falls under the **Project *Integration* Management knowledge area**
  - Justifies and formally authorizes a project or a project phase
  - Documents the stakeholders' initial requirements and expectations
  - Forms the basis for the partnership between the requesting (customer) and performing (supplier) organizations
- **Identify Stakeholders**
  - This process falls under the **Project *Communications* Management knowledge area**
  - Identifies all people or organizations impacted by the project
  - Documents their interests and involvement with the project, as well as their potential impact on project success
  - Forms the basis for developing a strategy to approach and involve each stakeholder to maximize positive influences and minimize negative influences

Concept Exploration

- **The "Why" phase**
- Not a "mandatory formal" phase
  - Sometimes called the "pre-project" phase
- Collecting project ideas
  - Then the "funneling" process
- **Project Justification**
  - ROI – Return on Investment

$$\text{Return on Investment (ROI)} = \frac{\text{Net Return}}{\text{Cost of Investment}}$$

  - Cost-benefit analysis
  - Competitive analysis (if appropriate)
- Initial planning and estimates

Concept Exploration

- Possibly includes Procurement Management:
  - **RFP** (request for proposal) Process
  - Vendor selection
  - Contract management
- Gathering the initial team
  - Including PM if not already on-board
- Identify the project sponsor
  - Primary contact for approval and decision making
- Potential Phase Outputs:
  - Concept Document, Product Description, Proposal, SOW, Project Charter

The Charter

Inputs, tools & techniques, and outputs

Inputs

- Project statement of work
- Business case
- Agreements
- Enterprise environmental factors
- Organizational process assets

Tools & Techniques

- Expert judgement
- Facilitation techniques

Outputs

- Project charter

Define the Project

- There is a need for clear understanding of exactly what is to be done.
- Project definition starts with the *Conditions of Satisfaction* document based on conversation with the customer.
- *Project Overview Statement* aka *Charter* or *Vision* is generated from the Conditions of Satisfaction document.
  - The *Project Overview Statement* clearly states what is to be done.
  - Once the *Project Overview Statement* is approved, the scoping phase is complete.

Note: In most cases the ***Project Overview Statement***, the ***Statement of Work***, and ***Project Charter*** are the same. Even **scope** will fit here. You can use them interchangeably.

Project Charter

- Activities
  - Define scope
  - Document Project Risks, Assumptions, and Constraints
  - Identify and Perform Stakeholder Analysis
  - Develop Project Charter
  - Obtain Project Charter Approval
- Deliverables
  - Project charter
  - Statement of work (SOW) (aka Scope)

Preliminary Scope

- Project objectives
- Product description
- Deliverables
- Constraints
- Assumptions
- Project acceptance criteria

Project Charter

- Typical outline
  - **Overview**
    - » Business need
      - Problem/opportunity
    - » Objectives
      - Project goal
    - » Method or approach
  - **General scope of work**
    - » Success criteria
  - **Rough schedule & budget**
  - **Roles & responsibilities**
  - **Assumptions, risks, obstacles**

Project charter content

- **Project purpose or justification**
  - Define the reason why the project is being done, by referring to any of the Initiating process inputs
- **Measurable project objectives** and related success criteria
  - *Scope.* Scope needed to achieve project goals and measurable criteria for scope success
  - *Time*. Goals for timely completion and specific dates for success
  - *Cost*. Goals for project expenditures and range of costs for success
  - *Quality*. Quality criteria and specific measures for criteria for success
  - *Other*. Any other objectives along with measurable criteria of success

Project charter content

- **High-level requirements**
  - Describe the high-level product capabilities that satisfy stakeholder needs and expectations. Do not include detailed requirements
    - *Example*: As a retail customer, I want to shop by either **brand** or by **product** category
    - *Example:* As the site owner, I want a retail customer to **find a stocked product** on the site within **three (3) mouse clicks**
    - *Anti-example*: As the site owner, I want the products to be displayed in **a 4- across grid** against a **light grey background**

Project charter content

- **Assumptions and constraints**
  - An ***assumption*** is "a thing that is accepted as true or as certain to happen, without proof"
    - » *Example*: The site will allow all site visitors to access all public features of the site
  - A ***constraint*** is a limitation or restriction
    - » *Example*: The site must use a hosting service for the new site

Project charter content

- **High-level project description and boundaries** [scope]
  - Provide an executive-summary-level description of the project, identify what will and will not be included in the project
    - *Example*: The site is a one-stop source for health and wellness information … It will not provide direct access to the HR site.
- **High-level risks**
  - *Risks* represent any major areas of uncertainty for the project
  - *Risks* may be internal or external
    - *Example*: Existing customers may have difficulty transitioning to new site
    - *Example*: The company does not have sufficient in-house Web design expertise to match the goals for the new site

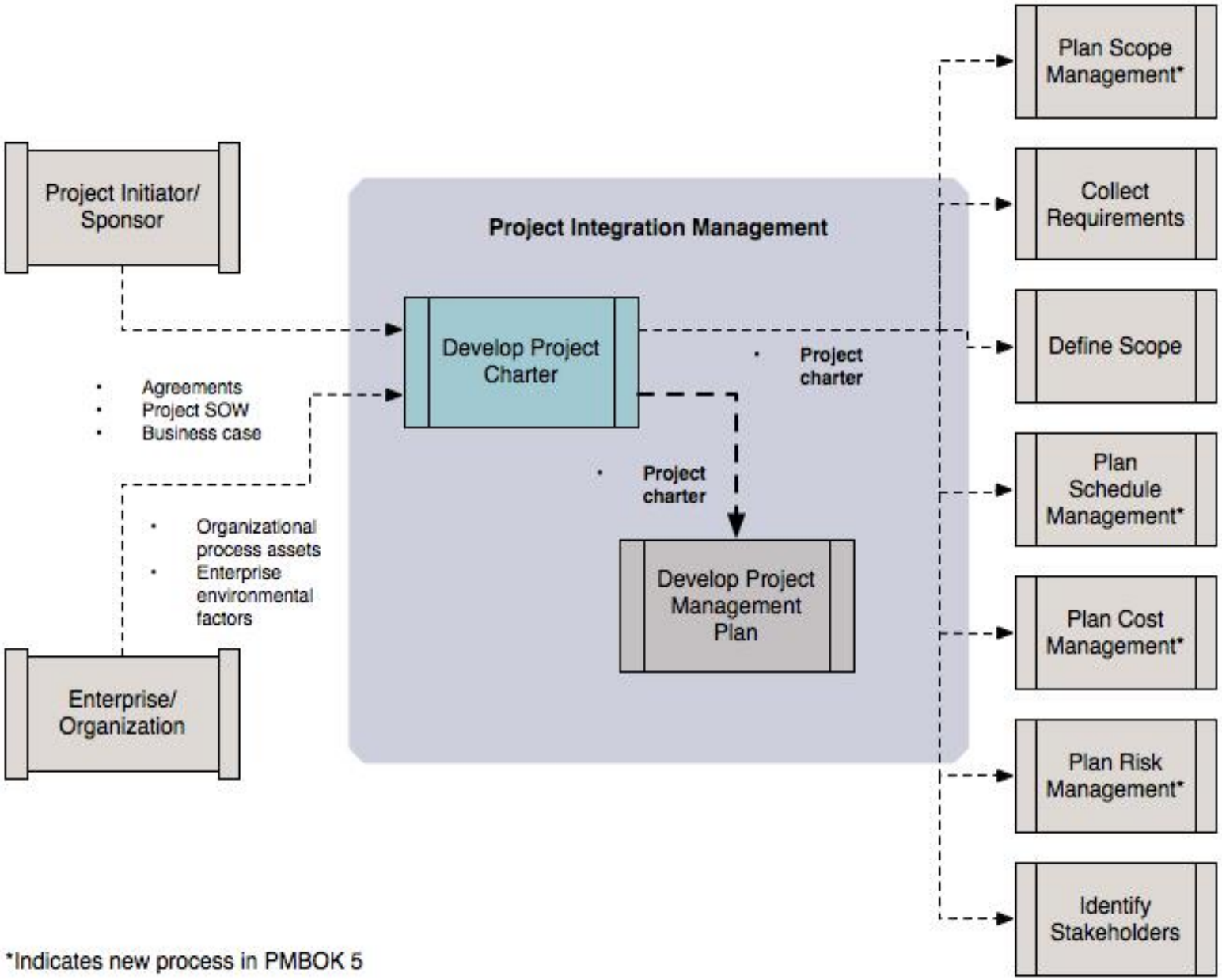
Project charter content

- Summary **milestone schedule**
  - Identify any *significant points or events* in the project, such as key deliverables, beginning or ending of phases, or product acceptance
  - Include estimated completion dates for the milestones
    - » Examples:
      - Requirements document complete: 4/30/2024;
      - Web site on-line with training: 6/30/2024
- Summary **budget**
  - Provide a rough order of magnitude (ROM) estimate of expenditures schedule for project
    - » ROM estimates may be as broad as ±100% but usually range ±35%
  - Budget should break down total expenditures by major categories (software, hardware, human resources, etc.)

Project charter content

- **Stakeholder list**
  - A *stakeholder* is "a[n] individual, group, or organization who may affect, be affected by, or perceive itself to be affected by a decision, activity, or outcome of a project"*
  - Identify a preliminary list of the most critical project stakeholders–this list will be refined later
- **Project approval requirements**
  - Identify any criteria that must be met in order for the project to be accepted by the project customer
  - *Example:* The project must implement the set of 'must-have' user stories agreed upon at project initiation

Develop Project Charter: Data Flow Diagram



Adapted from Figure 4-3 *PMBOK Guide, 5th Edition*

Charter

Tips on writing the charter

- Distribution of project by **type**
  - In-house, contract/for-hire, startup
- Distribution of project by **technology**
  - Web, Windows/Mac OS/Linux, Mobile, No platform
- Distribution by **industry**
  - Financial Services, Law, Retail
- A reminder why no two projects are same
- Most important **elements**
  - Why, who, what, what not
  - A little bit of when
- Make sure it's clear
- Some more re-purposed than others
  - Occasionally read more like business plans

Charter

- Formalities
  - Spell check.
  - Proof read
  - Make sure your name is on first page and also header and/or footer on each page.

Statement of Work (SOW)

Statement of Work (SOW)

- A description of the work required for the project; normally this is used when the project is being contracted out, but most of this is part of the Project Overview or Charter
- Sets the "boundary conditions"
- SOW vs. CSOW (Contract SOW)
  - Latter: uses legal language as part of a competitive bidding scenario
- Can be used in the final contract – be careful, be specific, be clear
- Typically done after approval (after "Go")
- Can be multiple versions
  1. List of deliverables for an RFP
  2. More detailed within final RFP
  3. Binding version from contract

SOW Template

I. **Scope of Work:** Describe the work to be done to detail. Specify the hardware and software involved and the exact nature of the work.

II. **Location of Work:** Describe where the work must be performed. Specify the location of hardware and software and where the people must perform the work

III. **Period of Performance:** Specify when the work is expected to start and end, working hours, number of hours that can be billed per week, where the work must be performed, and related schedule information. Optional "Compensation" section.

IV. **Deliverables Schedule:** List specific deliverables, describe them in detail, and specify when they are due.

V. **Applicable Standards:** Specify any company or industry-specific standards that are relevant to performing the work. Often an Assumptions section as well.

VI. **Acceptance Criteria:** Describe how the buyer organization will determine if the work is acceptable.

VII. **Special Requirements:** Specify any special requirements such as hardware or software certifications, minimum degree or experience level of personnel, travel requirements, documentation, testing, support, and so on.

S.M.A.R.T. characteristics for Goal

- Doran's S.M.A.R.T. characteristics provide the criteria for a goal statement:
  - **S**pecific: Be specific in targeting and objective.
  - **M**easurable: Establish measurable indicator(s) of progress.
  - **A**ssignable: Make the object assignable to one person for completion.
  - **R**ealistic: State what can realistically be done with available resources.
  - **T**ime-related: State when the objective can be achieved; that is, duration

The Project Definition Statement : PDS

The Project Definition Statement : PDS

- Just as the customer and the project manager benefit from the Charter, the project manager and project team can benefit from a closely related document, which we call the *Project Definition Statement (PDS)*.
- The PDS uses the same form as the Charter but incorporates *considerably more detail*. The detailed information provided in the PDS is for the use of the project manager and the project team.

Product overview document content

- *Product Name*
- *Product Vision Statement.* Include both product problem statement and product position statement
- *Dedicated Team.* List names of team members
- *Project Manager*
- *Customer/Product Owner.* Customer or customer representative
- *Architecture.* Specify if constrained; else, to be determined by team
- *Features Backlog.* High-level list of major features
- *Product Roadmap.* Releases with themes and corresponding features
- *Risks/Opportunities.* Consider market, project, and product aspects
- *Success Criteria.* What the customer considers most critical criteria
- *Flexibility Matrix.* Trade-off matrix of time, resources, and objectives

Stakeholders

Project stakeholders

- Project stakeholders are **individuals** or **organizations** who have influence over, or are influenced by project execution or completion
- Different stakeholders have varying amounts of influence, responsibility, or authority over a project
- Stakeholders can have a positive, neutral, or negative influence on a project
- Identifying all stakeholders associated with a project may be difficult
  - Stakeholders that are overlooked almost inevitably have a negative impact on project

Interactions / Stakeholders

As a PM, who do you interact with? **Project Stakeholders**

- External people
  - Project sponsor
  - Executives
  - Customers
  - Contractors
  - Functional managers
  - Users
- Team
  - Architects
  - System Engineers
  - Designers
  - Developers
  - Testers
  - Documenters

Key project stakeholder roles

- *Customer.* Person or organization that acquires product
- *User*. Person or organization that uses product
- *Performing organization*. Organization performing work of project
- *Project manager*. Responsible for managing project
- *Project management team*. Individuals directly involved in project management activities
- *Project team members.* Individuals performing work of project
- *Sponsor*. Entity providing financial resources for project
- *Influencers.* Entities indirectly affecting project
- *PMO*. Project management office. Responsible for centralized and coordinated management of all projects under its supervision

Significant project stakeholders

- *Functional managers*. Manage within functional or administrative areas of the business, such as human resources accounting, or procurement. Do not deal directly with products or services
- *Operations management.* Manage within core business areas, such as research and development, design, manufacturing, testing, or maintenance. Deal directly with producing and maintaining products
- *Sellers.* External companies or individuals that enter into contractual agreements to provide components or services necessary for project. Also known as vendors, suppliers, or contractors
- *Business partners.* External companies or individuals that have a closer relationship with enterprise, providing expertise or filling specific roles such as installation, training, or support

Software System Stakeholders

Each stakeholder has different concerns:

Customer	Manager	Architect	Developer	Tester
Requirements Cost Schedule Performance Reliability Security	Cost Schedule Requirements Process Resources	Maintainability Portability Feasibility Reusability Extensibility Flexibility The ***ilities***	Components Connectors Class/Pattern Data flow Reuse Flexibility Extensibility	Functionality Requirements Regression Tools Simulators

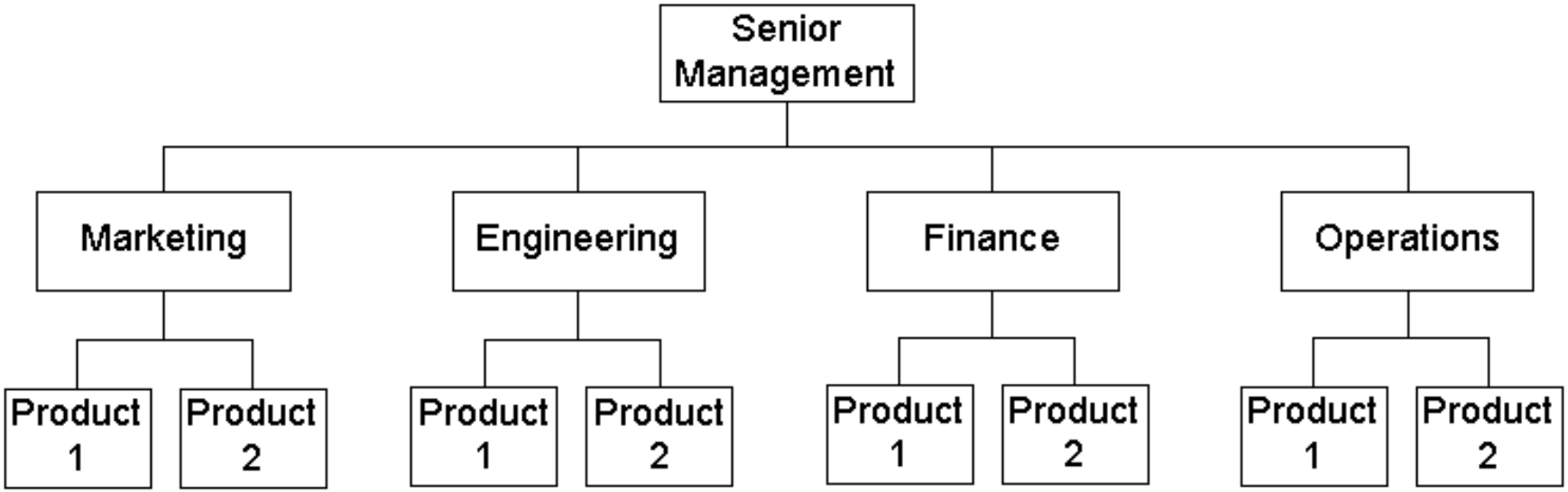
Stakeholder Triad

1. **Function Representative**
   - The ‘business person’, Business Analyst (BA)
   - Or SME: Subject Matter Expert
2. **Executive Sponsor**
   - Project's visionary & champion
   - Also the ‘General’, ‘Fall Guy’, and ‘Minesweeper’
   - Not the PM, ’Santa Claus’, or the ‘Tech Guy’
3. **Project Manager**
   - The ‘Linchpin’
   - Must be ‘multi-lingual’

Organizational Structures

- **Functional**
  - Engineering, Marketing, Design, etc.
  - P&L from production
- **Projectized**
  - Project A, Project B
  - Income from projects
  - PM has P&L responsibility
- **Matrix**
  - Functional and Project based
  - Program Mgmt. Model
  - Shorter cycles, need for rapid development process

Functional Organization



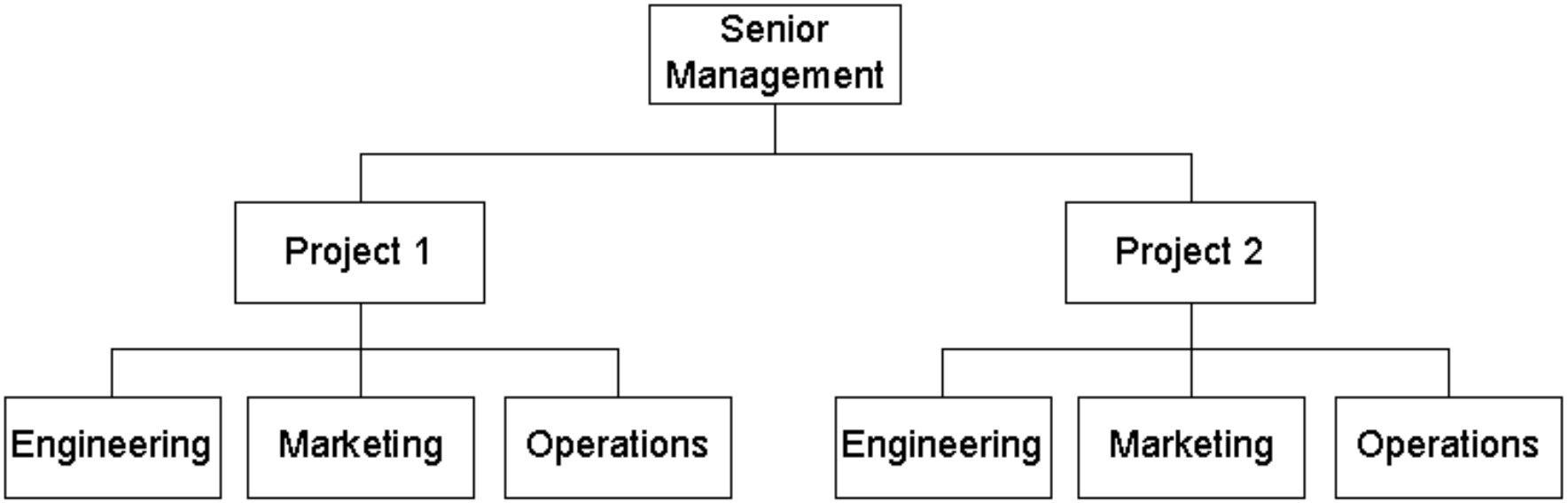
Pros

- Clear definition of authority
- Eliminates duplication
- Encourages specialization
- Clear career paths

Cons

- "Walls": can lack customer orientation
- "Silos" create longer decisions cycles
- Conflicts across functional areas
- Project leaders have little power

Projectized Organization



Pros

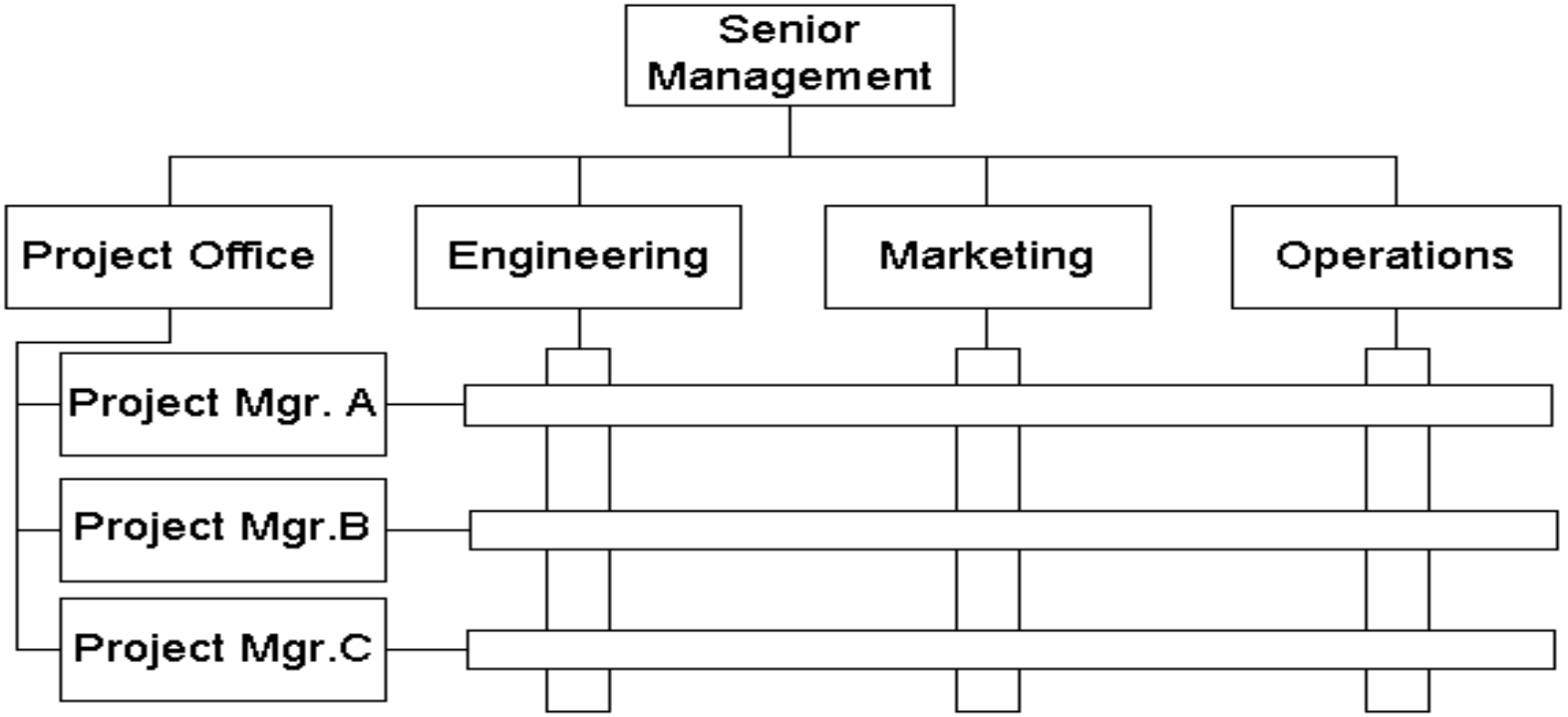
– Unity of command
– Effective intra-project communication

Cons

– Duplication of facilities
– Career path

Examples: defense avionics, construction

Matrix Organization



Pros

– Project integration across functional lines
–Efficient use of resources
–Retains functional teams

Cons

– Two bosses for personnel
– Complexity
– Resource & priority conflicts

Matrix Forms

- Weak, Strong, Balanced
- Degree of relative power
  - Weak: functional-centric
  - Strong: project-centric

Organizational Structure – Influences on Projects

Organization Type **Project Characteristics**	Functional	Matrix			Projectized
		Weak Matrix	Balanced Matrix	Strong Matrix	
Project Manager's Authority	Little or None	Limited	Low to Moderate	Moderate To High	High to Almost Total
Percent of Performing Organization's Personnel Assigned Full-time to Project Work	Virtually None	0-25%	15-60%	50-95%	85-100%
Project Manager's Role	Part-time	Part-time	Full-time	Full-time	Full-time
Common Title for Project Manager's Role	Project Coordinator/ Project Leader	Project Coordinator/ Project Leader	Project Manager/ Project Officer	Project Manager/ Program Manager	Project Manager/ Program Manager
Project Management Administrative Staff	Part-time	Part-time	Part-time	Full-time	Full-time

PMBOK Guide, 2000, p. 19